

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-17

BAKERLY, LLC

COMPLAINANT,

v.

SEAFRIGO USA INC.,

RESPONDENT.

**RESPONDENT SEAFRIGO USA INC.'S OPPOSITION
TO BAKERLY, LLC'S EXCEPTIONS**

TABLE OF CONTENTS

I.	SUMMARY OF ARGUMENT	1
II.	SUMMARY OF THE INITIAL DECISION’S FINDINGS OF FACT	10
A.	The Parties’ Agreements	11
B.	The Parties’ Communications	12
C.	Seafrigo’s Invoices to Bakerly	14
D.	Drop and Pick Program at Bakerly’s Warehouse	15
E.	Bakerly Warehouse’s Reduced Capacity	16
F.	Fall 2021 E-Mails to Bakerly’s Warehouse	18
G.	The Parties’ 2021 Finance Discussions	18
H.	Winter 2022 Customs Holds	20
I.	The Parties’ 2022 Finance Discussions	21
J.	Invoice Information and Calculations	21
III.	SUMMARY OF THE INITIAL DECISION’S ANALYSIS AND CONCLUSIONS OF LAW	22
A.	The I.D. Rejects Bakerly’s Discovery Dispute	22
B.	The I.D. Enforces Seafrigo’s Tariff and the Parties’ Agreements	23
C.	The I.D. Promotes the Incentive Principle and the Filed Rate Doctrine	24
D.	The I.D. Addresses OSRA	26
E.	The I.D. Recognizes Bakerly’s Warehouses Caused Delays and Charges to Accrue	26
F.	The I.D. Rejects Bakerly’s Contentions Regarding Invoice Backup Requirements	27
G.	The I.D. Rejects Bakerly’s Contentions Regarding Invoice Information Requirements	29
H.	The I.D. Recognizes Seafrigo’s Good Faith Billing Practices	30

IV.	ARGUMENT: THE COMMISSION SHOULD REJECT BAKERLY’S EXCEPTIONS TO THE INITIAL DECISION.....	31
A.	The Record Reflects That Seafrigo Provided Invoices to Bakerly and Provided Ample Information Therewith	31
B.	Seafrigo Advancing Money is in Keeping With the Interpretive Rule, Which the I.D. Explicitly Applies.	34
C.	Bakerly is Responsible for the Charges at Issue Pursuant to Applicable Tarff Rules and the Parties’ Agreements.	35
D.	The Parties’ Conduct Reveals Bakerly Intended for Seafrigo to Advance Funds on Its Behalf.	40
E.	Bakerly Misinterprets the Record and Misrepresents Seafrigo’s Good Faith Practices Reflected Therein.	43
1.	Bakerly Misrepresents its Awareness of Charges Reflected in the Spreadsheets.....	43
2.	Bakerly Misrepresents Revisions in Analysis Reflected in the Spreadsheets.....	44
3.	Bakerly Misrepresents Supposed Overcharges Allegedly Reflected in Invoices	45
4.	Bakerly Misrepresents Seafrigo’s Conduct and Production in Discovery	47
V.	CONCLUSION.....	48

TABLE OF AUTHORITIES

Cases

<i>Gruenberg-Reisner v. Overseas Moving Specialists, Inc.</i> , 34 S.R.R. (FMC 2016).....	27
<i>Maritime Corp. v. Acme Fast Freight of Puerto Rico</i> , 177 S.R.R. 1665, 1662, <i>aff'd</i> 18 S.R.R. 853 (FMC Aug. 14, 1978).....	27
<i>Taylor's Resources, Inc. (USA) v. Mitsui O.S.K. Ltd.</i> , 2018 WL 175762 (FMC Apr. 4, 2018)	26

Pursuant to Rule 227 of the Commission’s Rules of Practice and Procedure, Respondent Seafrigo USA Inc. (“Respondent” or “Seafrigo”) hereby submits its Opposition to the exceptions (“Exceptions”) filed by Bakerly, LLC (“Bakerly”) to the January 3, 2024 Initial Decision (“I.D.”) of the Chief Administrative Law Judge (“ALJ”).

I. SUMMARY OF ARGUMENT

The Chief Administrative Law Judge’s Initial Decision reflects a well-reasoned and thorough determination of the matters in dispute based upon careful review of the applicable tariff, bills of lading, Negotiated Service Agreements (“NSAs”), rate proposals, and the parties’ course of conduct over multiple years. The I.D., which sets forth 164 distinct Findings of Fact amply supported by the record, addresses the extensive communication between the parties relating to the invoices in question, documentation supporting same, and the reasons for the detention and demurrage charges at issue, including the widespread inability of Bakerly warehouses to accept and/or timely unload the containers at issue.

In its Exceptions, Bakerly largely ignores those extensive findings and the contemporaneous documents on which they are based. Most noteworthy in that regard is Bakerly’s continued insistence that it never received invoices or backup documents for demurrage or detention, which charges were almost entirely straight pass throughs of charges assessed by marine terminal operators (MTOs) or vessel-operating common carriers (VOCCs). The I.D., however, reflects Seafrigo’s extensive and regular submission to Bakerly of invoices and documents related to same. Indeed, there are more than forty (40) separate Findings of Fact relating to such transmissions.¹ Based upon the I.D.’s thorough and exhaustive review of the communications in

¹ These include Finding of Fact 26, 27, 28, 29, 32, 33, 35, 36, 37, 40, 42, 43, 44, 45, 46, 48, 49, 50, 51, 52, 53, 54, 55, 56, 57, 96, 98, 99, 100, 101, 105, 106, 107, 112, 145, 146, 147, 148, 149, 150, 151, 152, 154, and 160.

the record, the I.D. properly concludes that Seafrigo continuously and repeatedly provided invoices and backup documentation to Bakerly. “The evidence shows that Seafrigo did provide back-up documentation and the exhibits suggest that *it made a good faith attempt to provide as much information as possible* about these pass-through charges.” I.D. at 58 (emphasis supplied). In sharp contrast to Seafrigo’s good faith dealing, the I.D. rightly concludes that Bakerly delayed payment *without good cause*. I.D. at 59 (emphasis supplied).

The I.D. also makes the common sense finding, consistent with then-existing Commission rules and precedent, that “[a]n NVOCC can only make available to the shipper the information it receives from [the VOCC or MTO] imposing the charge.” I.D. at 61. There is no legitimate dispute that during the timeframe at issue NVOCCs and MTOs were not required to provide the detailed information Bakerly sought and Bakerly has failed to establish that Seafrigo acted unreasonably in not providing information beyond what it received from the entities imposing the charges. *Id.*

Further, the undisputed record reflects that Seafrigo invoices listed the identity of the consignee, the vessel, the destination, the master bill of lading number, the house bill of lading number, the departure date, the arrival date, the container number, the balance due, a description of both the goods and the charges, and other data. I.D. at 61. Thus, the contemporaneous record reflects that there was no valid justification for Bakerly’s failure to pay the detention and demurrage charges at issue.

Ignoring the I.D.’s conclusions in this regard and the extensive contemporaneous documentation supporting same, Bakerly asserts that the evidence presented in the record that Seafrigo provided Bakerly with invoices and back-up documentation is not credible. The record, however, is replete with examples of Seafrigo having done so. In addition, Seafrigo provided sworn testimony that Bakerly is in possession of all invoices issued and the supporting documents

related to same. It is noteworthy that Bakerly now invites the Commission to ignore the contemporaneous evidence and to dismiss Seafrigo's testimony that is wholly consistent with that record yet Bakerly did not even bother to depose the Seafrigo representatives with knowledge of Seafrigo's invoicing practices. In short, the I.D.'s findings, wholly consistent with the evidence that Seafrigo continuously provided invoices and backup documentation to Bakerly, should be affirmed.

Bakerly's legal challenges to the I.D. are equally unsupported. There can be no dispute that the Ocean Shipping Reform Act of 2022 ("OSRA") was not enacted until after the shipment and thus the I.D. properly dismissed the allegation of the Bakerly Complaint asserting same. Bakerly falsely asserts, however, that the I.D. ignores the incentive principle which preceded OSRA's enactment. A review of the I.D., however, confirms that this statement is untrue. Where appropriate, the I.D. explicitly addresses the incentive principle and its primary goal of promoting the efficient movement of cargo. *See, e.g.*, I.D. at 50 where the I.D. holds that its Decision is consistent with the incentive principle because if an NVOCC fears that it will not be reimbursed and therefore hesitates to pay the demurrage and detention necessary to pick up containers, the flow of commerce will slow. I.D. at 50.

The I.D. recognized that Seafrigo's refusal to pay demurrage and detention charges assessed against Bakerly's cargo by MTOs and NVOCCs would have resulted in the cargo remaining unmoved, and detention and demurrage charges continuing to accrue. Indeed, Bakerly's current position (that it is in no way responsible for paying such charges) ignores that, if true, Bakerly could simply refuse to have adequate warehouses for storing its goods (or any warehouses at all) and could fail to timely unload and return containers, knowing that it would bear no liability

for same. Such an irresponsible position would grind ocean transportation to a halt and is flatly contrary to the incentive principle.

The rate proposals, which the I.D recognizes satisfy the requirements of Negotiated Rate Agreement (“NRAs”)², NSAs, the applicable tariff provisions and Seafrigo’s bills of lading, impose responsibility for the demurrage and detention charges at issue on Bakerly as the Merchant; Bakerly’s contentions to the contrary are entirely without support. Additionally baseless is Bakerly’s assertion that the I.D somehow runs afoul of the filed rate doctrine. As noted in the I.D.’s Findings of Fact, the “Rate Proposal *does not include demurrage and detention charges for which the shipper and/or consignee may be liable* and port terminal handling charges.” I.D. at 48 (emphasis in original). Further, each of Seafrigo’s quarterly rate proposals included Seafrigo’s USA Standard Accessorials Tariff, listing *per diem* charges as “[a]t cost per terminal or carrier” and both demurrage and detention as “[a]t cost per carrier.” *Id.*

As the I.D. emphasizes, Seafrigo’s Tariff Rules provide that demurrage and detention charges shall be for the account of the Merchant “except to the extent solely attributable to actions or omissions of Carrier.” I.D. at 48. The applicable portions of Tariff Rule 17 provide that the Merchant appoints Carrier as its agent for acquiring containers and chassis and agrees to charges for demurrage and detention, all of which shall for the account of Merchant “*except to the extent solely attributable to actions or omissions of Carrier.*” *Id.* (emphasis in original). Seafrigo’s Bill of Lading Terms and Conditions also provide that Seafrigo “shall not be liable for any loss or damages from... an act or omission of Merchant” and that Seafrigo shall not be liable for any “cause or events” which it could not avoid, and which could not be prevented by the exercise of

² I.D. at 47-48.

due diligence.” *Id.* Moreover, the I.D. holds that as a matter of law, the Commission permits NVOCCs to pass through charges on detention and demurrage provided there is no markup.

The I.D. considers and rightfully rejects Bakerly’s contention that pursuant to Tariff Rule 15.3, Seafrigo assumed all risks associated with detention and demurrage because these were door moves. I.D. at 48. The I.D. determines that at most Rule 15.3 is ambiguous in imposing demurrage liability on Bakerly for failing to reference explicitly removal of containers within the free time (for which Bakerly is liable). *Id.* Wholly clarifying any ambiguity therein, the I.D. looks to the other explicit language in the tariff and parties’ agreements, which language clearly imposes such liability on Bakerly. *Id.* at 49.

The I.D. rightfully disposes of Bakerly’s contention that Tariff Rule 17.2.1 overrides provisions imposing detention and demurrage charges on Bakerly, because the section relied upon does not apply to demurrage or detention. I.D. at 49. The I.D. thus holds: 1) based upon the quarterly rate proposals, which explicitly state that the rates on door deliveries did not include demurrage and detention charges and thus were not “all-in” rates, Seafrigo was not responsible for demurrage and detention charges; and, 2) the contemporaneous evidence shows that although Bakerly objected to such charges based on an alleged failure to perform Seafrigo’s part, Bakerly never disputed that it was otherwise responsible for demurrage and detention charges. *Id.* at 49.

The lack of good faith and indeed outright dishonesty of Bakerly’s position is apparent from its bald assertion that “there is no evidentiary proof that Bakerly accepted the understanding” that it was responsible for payment of demurrage and detention charges advanced on its behalf by Seafrigo. Exceptions at 33. The record, however, is loaded with evidence to the contrary. The I.D. reflects that on two separate occasions Bakerly expressly represented that it would pay snowstorm demurrage and detention charges advanced by Seafrigo arising from a port closure due to a

snowstorm. *See* FoF 38 and 40.³ Even further, the I.D. reflects countless examples of Seafrigo requesting payment of outstanding detention and demurrage charges. *See, e.g.*, FoF 96-97, 103, 108.⁴ Perhaps most telling in this regard is that on December 23, 2021, Seafrigo e-mailed Bakerly stating that it would no longer advance demurrage on Bakerly's behalf until the parties reached an agreement on Bakerly's payment of overdue amounts: "If any further containers require demurrage, we will inform your team, and you will be responsible for paying the charges directly to the source (source being the terminal and/or steamship lines)." *See* FoF 110.⁵ Alternatively, Seafrigo's e-mail explained, Bakerly could use PayCargo to pay its demurrage in real time.

Quite simply, throughout Seafrigo and Bakerly's contractual relationship it was the established practice between the parties that Seafrigo would advance funds to third parties such as MTOs and VOCCs for detention and demurrage charges and Bakerly would then reimburse Seafrigo for those charges. Seafrigo Opposition Brief ("Opposition") at 6; Declaration of Jerome Lorrain ("Lorrain Declaration"), RX 38 at 3-4; Declaration of Alfonse Raffa ("Raffa Declaration"), RX 1 at 12-13. Seafrigo did so as an accommodation to Bakerly in order to allow for the prompt release of Bakerly's cargo and to prevent such charges from continuing to accrue. *Id.* It is telling that although Seafrigo billed Bakerly for such charges almost a thousand times over an extended period – and Bakerly either paid such charges or repeatedly promised to do so – Bakerly never asserted that it had no obligation to do so until *after* Seafrigo had advanced millions

³ One such representation was made in February 2021 in exchange for Seafrigo offering Bakerly a \$30,000 credit in order to induce Bakerly to pay long overdue detention and demurrage invoices. FoF 38. The second representation was made during this litigation in December 2022. FoF 40.

⁴ Further, the record reflects that while on some occasions Bakerly failed to pay outstanding invoices, on numerous other occasions it did make such payments. *See* I.D. at 46. No explanation is offered as to why, if Bakerly did not believe it was responsible for demurrage and detention, it never informed Seafrigo of that fact and never instructed it to stop sending invoices.

⁵ Seafrigo continued to pay Bakerly's demurrage and detention charges on its behalf only after Bakerly CEO Julien Caron begged Seafrigo to continue to do so and promised that the outstanding demurrage and detention charges would be paid. *See, e.g.*, FoF 111; Lorrain Declaration, RX 38 at 8.

of dollars on its behalf. On December 26, 2021, Bakerly wrote back to Seafrigo, referencing a phone call between the parties' executives, and reflecting that Seafrigo should continue to advance payments to terminals and steamship lines on Bakerly's behalf. FoF 111. In light of the above, Bakerly's assertion that it did not understand that it was obligated to reimburse Seafrigo for demurrage charges advanced on its behalf is a knowing and intentional falsehood. Such a blatant misrepresentation warrants a finding that the remainder of Bakerly's assertions lack credibility.

In sum, Bakerly asserts two inconsistent justifications for its refusal to pay detention and demurrage charges and its attempt to claw back previously paid charges invoiced by Seafrigo. On the one hand, Bakerly asserts that it never had a legal obligation to pay such charges. On the other hand, Bakerly asserts there is not enough information included in some of Seafrigo's invoices to justify payment. As reflected in the I.D., Bakerly's excuses for nonpayment of detention and demurrage charges cannot withstand scrutiny.⁶ *See, e.g.*, I.D. at 2. The I.D. therefore properly concludes that Bakerly has failed to show any violation of the Shipping Act by Seafrigo and that Bakerly has failed to establish that the charges assessed are not due. *Id.*

The I.D., in addition to finding that the parties' agreements and Seafrigo's tariff provisions render Seafrigo liable for detention and demurrage only when such charges are solely attributable to Seafrigo's own actions, addresses a number of specific categories of charges that are not attributable to Seafrigo. Included among these are charges that accrued due to staffing shortages, and those caused by ports being closed due to snowstorms. I.D. at 50. As to charges imposed by MTOs and NVOCCs, the I.D. recognizes that Seafrigo was not responsible for the weather-related closing of ports, that the applicable tariff rules and bill of lading terms dictate that Seafrigo is not

⁶ Seafrigo concedes that Bakerly should have no liability for detention and demurrage charges attributable to the conduct of Seafrigo. However, the charges being sought do not fall within that category and Bakerly has no valid justification for its failure to pay.

liable for charges it could not prevent, and that the undisputed evidence reflects that Seafrigo's requests to carriers to have such charges waived were denied. *Id.* at 51. Thus, Seafrigo advancing such funds was necessary in order to obtain the release of the containers. *Id.* After the Chief ALJ's thorough review of the extensive record, the I.D. concludes that "[t]he evidence supports Seafrigo's argument that 'the charges assessed largely were straight pass-throughs of amounts that Seafrigo paid to third parties' and the 'only additional charges imposed by Seafrigo were finance charges in late 2021, when Seafrigo's finances were being impacted by Bakerly's failure to reimburse it for millions of dollars which Seafrigo had advanced on Bakerly's behalf.'" I.D. at 59.

Although the I.D. devotes considerable analysis to Bakerly's warehouse and staffing inadequacies (which directly triggered many of the charges at issue) Bakerly fails even to acknowledge the issue. *See* FoF 58-71. Instead, Bakerly misrepresents a spreadsheet prepared by Seafrigo which Bakerly contends contains admissions as to the cause of the charges. The most notable misrepresentation in this regard is the suggestion that internal notes in the spreadsheet stating that Bakerly was advised that due to market conditions, *per diem* or demurrage may apply do not constitute proof that Bakerly *caused* such charges to accrue. *See* Exceptions at 8. This is a red herring as those internal notes are not directed to the cause of the charges but instead to the fact that Bakerly was *aware* that such charges were accruing and that they were the responsibility of Bakerly, despite Bakerly's belated contention to the contrary. *See Id.*

The difference in the charges attributable to Bakerly or to third parties in what Bakerly refers to as Round 1 and 2 spreadsheets was also fully addressed in the submission below wherein Seafrigo explained that Round 2 reflected a review of invoices for smaller amounts, which Seafrigo previously had believed based upon the parties' contemporaneous communications would not need to be addressed in the litigation. *See, e.g.,* Seafrigo Reply Brief ("Reply") at footnote 43. When

Bakerly belatedly refused to adopt such a position, Seafrigo did a deeper dive into the voluminous records and prepared a spreadsheet reflecting the cause of all of the charges at issue. Moreover, as set forth herein, all of the invoices were properly issued to Bakerly. The reference to “no” invoices merely reflected that there had been no further follow-up communication with Bakerly regarding those invoices. *See* Exceptions, 11-16. Indeed, the record reflects that when on occasion Bakerly asserted it had not received invoices Seafrigo promptly resent them. FoF at 99. The I.D. finds further that Bakerly lost some invoices. FoF 112.

Highlighting the implausibility of Bakerly’s assertions that it never received the invoices in dispute is the fact that Bakerly *paid* a substantial number of those invoices (that it is now seeking to claw back). It defies reason that Bakerly would have made millions of dollars of payments without ever receiving invoices for such charges. It also is noteworthy that after carefully parsing the over thousand invoices at issue Bakerly repeatedly cites just two examples of overcharges. For one such invoice, however, Seafrigo has already admitted an error and Seafrigo is not seeking payment on that amount. The other container produced a supposed overcharge of approximately \$600 (out of over \$2.7 million in invoices issued). The I.D. correctly held that isolated instances of overcharging do not reflect a normal, customary, and continuing practice as is required to establish a violation of the Shipping Act, particularly when the record reflects that Seafrigo credited Bakerly \$60,000 in exchange for Bakerly’s repeated promises to pay such invoices.

Finally, Bakerly rehashes its previously rejected arguments as to purported discovery violations by Seafrigo. The I.D. rejects Bakerly’s assertion that Seafrigo’s discovery responses violated the Federal Rules of Civil Procedure and its assertion that Seafrigo should be barred from presenting documentary evidence because late discovery caused delay. I.D. at 35.

In considering the merits of Bakerly's contentions and its attempt to preclude the introduction of relevant evidence, Seafrigo submitted undisputed evidence that Bakerly agreed to extend the deadline for Seafrigo to produce discovery.⁷ Seafrigo also produced undisputed evidence that although Bakerly once again seeks sanctions and attorneys' fees for Seafrigo having originally filed its Opposition brief in a PDF format, Seafrigo provided the Brief in a word-processing format *within hours after being notified of its oversight*. I.D. at 35.⁸

Additionally, Seafrigo submitted evidence that documents produced: 1) were converted to being labeled with Bates stamps by a third-party vendor in the ordinary course of litigation; 2) were not converted to make review more difficult; and, 3) the conversion had no appreciable impact on Bakerly's ability to review the documents. *Id.* at 36, The ALJ concluded that while documents supporting Seafrigo's charges were not well-organized and portions of its Appendix required resubmission, this appeared to be the manner in which the information was kept in the ordinary course of business and thus was not a basis for imposing sanctions. *Id.* The ALJ rightfully rejected the remainder of the alleged discovery challenges as well. *Id.*

II. SUMMARY OF THE INITIAL DECISION'S FINDINGS OF FACT

The I.D. sets forth 164 separate Findings of Fact ("FoF"), each of which is amply supported by evidence in the record. The FoFs address the voluminous record consisting of the thousands of invoices at issue and contemporaneous correspondence related to same. Most noteworthy in this regard are the following:

⁷ Thus, Bakerly on the one hand voluntarily agreed to extend the discovery deadline and then subsequently sought to impose sanctions and preclude evidence based upon a failure to comply with an earlier deadline. This practice is as dishonest and lacking in good faith as Bakerly's assertion that it never agreed to reimburse Seafrigo for the charges advanced on Bakerly's behalf.

⁸ The fact that Bakerly would take such a position in the first place and then pursue it as part of its Exceptions reflects the extent to which Bakerly is prepared to go to try and ensure that the Commission does not review the relevant contemporaneous documents.

A. The Parties' Agreements

FoF 11: Seafrigo sent quarterly rate proposals to Bakerly which Seafrigo specified did not include demurrage and detention charges for which the shipper and/or consignee may be liable, nor did they include port terminal handling charges.

FoF 13: Seafrigo's quarterly rate proposal included Seafrigo's USA Standard Accessorials Tariff listing *per diem* charges as "At cost per terminal or carrier" and both demurrage and detention "at cost per carrier."

FoF 14: Seafrigo Tariff Rule 15 provides in relevant part that the VOCC imposes detention charges if empty containers released for loading or unloading are not returned with a specified window for free time. The Merchant shall be liable to the Carrier for any detention charges imposed on the Carrier by the VOCC as a result of the Merchant's failure to return containers within the applicable free time. Tariff Rule 15.2.

FoF 14 (cont'd): The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within the specified window for free time. Where service is port at destination and removal of containers from the marine terminal is responsibility of the Merchant, the Merchant shall be liable to the Carrier for any demurrage charges imposed on the Carrier by the VOCC as a result of Merchant's failure to return containers within the applicable free time. Tariff Rule 15.3.

FoF 15: The Merchant, by tendering shipment to the Carrier for transportation, appoints the Carrier as its agent for acquiring containers and chassis for such transportation and accepts responsibility for demurrage and detention charges that accrue with respect to containers and chassis used for such transportation, all of which is for the account of the Merchant except to the extent solely attributable to actions or omissions of the Carrier. Tariff Rule 17.1.

FoF 15 (cont'd): Except as otherwise specifically provided in the Tariff Rules, and the Carrier's bill of lading, the following shall be at the Merchant's risk and all expense in connection therewith shall be for the Merchant's account: The pickup, transport, and delivery of the containers/goods moving between the port of lading or port of discharge and the Merchant's facility, except to the extent the goods are door cargo. Tariff Rule 17.2.

FoF 16: Seafrigo's Bill of Lading Terms and Conditions provide that Seafrigo shall not be liable for any loss or damage arising from any act or omission of the Merchant and that Seafrigo cannot be held liable for any cause or event which it could not avoid, and which could not be prevented by the exercise of due diligence. Bill of Lading Clauses 6.5 and 6.5(h).

FoF 17: Seafrigo's Bill of Lading Terms and Conditions provide that the Merchant undertakes to return the container to the Carrier within the allotted free time. The Merchant shall pay the Carrier for the applicable demurrage or detention charges. Bill of Lading Clause 9.4.

B. The Parties' Communications

FoF 18: Significant container delays began to accrue as early as November 2020.

FoF 19: Seafrigo met with Bakerly's two primary VOCCs, CMA and MSC, and sought to have them waive detention and demurrage charges, but the VOCCs flatly refused to waive such charges.

FoF 22: On January 5, 2021, Seafrigo e-mailed Bakerly, informing Bakerly that Seafrigo had been financing the demurrage on behalf of Bakerly "for the sake of ease and to avoid confusion." Further, Seafrigo informed Bakerly that Seafrigo had paid \$100,000 to \$125,000 in demurrage at the Port of New Jersey, and approximately \$40,000 to \$45,000 at the Port of Oakland.

FoF 24: On January 20, 2021, Seafrigo wrote to Bakerly regarding Bakerly's Jersey City warehouse, notifying Bakerly that a potentially serious issue was brewing. Seafrigo noted that the warehouse was not unloading containers and that some had remained there for over a week and the warehouse planned on keeping them longer. Reliable sources indicated that Bakerly had

brought in too many containers at the same time, and the warehouse did not have the time to unload them fast enough, resulting in increased *per diem* costs.

FoF 27: In response to an inquiry from Bakerly regarding *per diem*, Seafrigo informed Bakerly that *per diem* accumulates over time based on when the Carrier bills Seafrigo. “In some instances, it takes them 1 month + to send us their invoice.”

FoFs 33-34: Following a back-and-forth regarding applicable invoices, on March 2, 2021, Seafrigo informed Bakerly that it had “attached back-up to the invoices you had questioned. Additionally, I have added a batch of new invoices + back up. I will put everything in a FEDEX pouch and sent it to you.” Bakerly wrote back asking whether it could have the information provided in a spreadsheet.

FoF 36: On March 3, 2021, Bakerly thanked Seafrigo for running a customized report of the invoices.

FoF 37: On March 5, 2021, Seafrigo e-mailed Bakerly “2 reports based on invoicing dates of Jan. 1st 2021,” and attached Excel spreadsheets labeled “Bakerly Per Diem 2021” and “Bakerly Demurrage 2021.”

FoF 38-39: Seafrigo agreed to provide Bakerly a \$30,000 credit after Bakerly agreed to pay charges incurred during the New York snowstorm.

FoF 40: In December 2022 Bakerly again agreed that it would not dispute Seafrigo’s right to be reimbursed for the snowstorm charges amounting to \$361,178.545.⁹

FoF 41: If Seafrigo had been informed by Bakerly that it thought Seafrigo was assuming the obligation to pay detention, demurrage, and other ancillary charges, it would have refused to advance the millions of dollars on behalf of Bakerly.

⁹ These are among the charges that Bakerly now contends it should not have to pay.

C. Seafrigo's Invoices to Bakerly

FoF 42: During the period in question, which was prior to enactment of the Ocean Shipping Reform Act of 2022 ("OSRA"), VOCCs and MTOs were not obligated to provide detailed invoices. Seafrigo forwarded information as provided by the MTOs and VOCCs.

FoF 43: If a container sat on a terminal or at a warehouse for an extended period, more than one invoice for that container might be issued by a third-party to Seafrigo, and therefore Seafrigo on occasion was forced to issue more than one invoice to Bakerly for detention and demurrage charges on one container.

FoF 45: On January 20, 2021, Seafrigo informed Bakerly that Seafrigo was sending weekly batches of additional invoices for demurrage and *per diem*, "along with the back-up."

FoF 48: Following further correspondence on invoicing, Seafrigo informed Bakerly that although Seafrigo was sending reports that reflected detention and demurrage charges, those reports would not include supporting documents because "all supporting documents have already been sent with the original invoices. The report is just a summarization of what has been billed."

FoF 49: On April 12, 2021, Bakerly asked Seafrigo for a copy of documents related to two particular invoices. Two days later, on April 14, 2021, Seafrigo responded, attaching the documents sought.

FoF 52: On April 28, 2021, Seafrigo sent Bakerly a batch of invoices and backup documentation via Federal Express ("FedEx").

FoF 54: Following further communications on invoicing, Seafrigo noted that it would be generating accessorial invoices as Seafrigo received them from third parties, because there was no fixed timeframe for when Seafrigo would receive those types of charges. Although Seafrigo was willing to batch invoices it did not want to delay in submitting the invoice and backup.

D. Drop and Pick Program at Bakerly's Warehouse

FoF 58: Seafrigo experienced continual problems with Bakerly's warehouse in Allentown, Pennsylvania. Drivers were having to wait inordinate times to have containers unloaded so they could return the empties to the marine terminal, resulting in Seafrigo "losing truckers left and right." Seafrigo was forced to instruct truckers to take full loads back to its facility, resulting in additional ancillary charges.

FoF 59: Seafrigo wrote to Bakerly and its warehouse warning that when Seafrigo's drivers arrived at the warehouse at 6:30 p.m. or later they were being forced to remain overnight. Seafrigo informed Bakerly that given these circumstances, Seafrigo truckers who had worked with Seafrigo for years were refusing to deliver to the warehouse.

FoF 60: Bakerly wrote to its warehouse stating: 1) that the situation was strongly impacting its drayage costs; 2) that it needed the warehouse to accept five inbound deliveries per day; and 3) that Bakerly could not lose drivers or continue paying detention and layover fees.

FoF 63: The situation became so untenable that the parties decided to implement a "drop and pick program" whereby truckers would not have to wait for the warehouse to empty the container they were delivering but instead could pick up and leave with a different empty container that was sitting at the warehouse. This program, designed to shorten the time truckers spent at Bakerly's warehouse, was necessary because truckers had been threatening not to deliver to the warehouse in light of wait times.

FoF 64: The drop and pick program was adopted despite Bakerly's concern that the major factor was its warehouse's manpower and that its warehouse's operations would "not be efficient enough to have regular in & out flow of fulls & empties." Bakerly expressed a hope that the drop and pick program would not result in "further delay."

FoF 65: On April 15, 2021, Seafrigo informed Bakerly that one of its truckers was rejecting all future loads to Bakerly's warehouse: "We just lost 25% of our truck capacity...." Bakerly responded that it was confirming with its warehouse regarding the drop and pick program – "otherwise the inventory will be sitting there and containers will run per diem."

FoF 67: During May 20-25, Bakerly emailed its warehouse stating, "Cannot list all the delays." Bakerly's lengthy diatribe then went on to state, "[s]orry but what a mess!" and "[w]e cannot drop the ball and impact so much *[sic]* our customers during our peak season! We need help here pls."

FoF 68: On May 25, 2021 Bakerly's warehouse responded, recognizing that the warehouse continued to be severely impacted by shortage of staff and high volume of containers, and acknowledging its inability to accommodate customers' needs.

FoF 69-70: On June 14, 2021, the parties agreed that the drop and pick program needed to be discontinued because it "ha[d] done more harm than aid." Seafrigo informed Bakerly that it could use Seafrigo's storage yard only for confirmed appointments and that Seafrigo could no longer store containers in its yard for long stretches of time. Bakerly conceded that the drop and pick program had been unsuccessful because Bakerly's warehouse "could not keep up with the drops at the time following limited resources due to the COVID-19 outbreak."

FoF 71: Bakerly informed Seafrigo on June 9, 2021 that Bakerly was terminating its partnership with its warehouser. Two days later, however, Bakerly announced it had decided not to terminate the partnership but instead to reduce its volume to said warehouser.

FoF 73: Seafrigo informed Bakerly on June 16, 2021 that carriers were suffering from driver and equipment shortages and port congestion.

E. Bakerly Warehouse's Reduced Capacity

FoF 79: On July 12, 2021, Bakerly e-mailed Seafrigo with the subject "STOP Seafrigo** Stop immediately BAKERLY CONTAINERS FOR BAKERLY -CARRIER SEAFRIGO," stating:

Seafrigo team, we regret to inform you that we must limit your inbounds due to complications and internal decisions. Starting now 07/13¹⁰, only drop 2 containers per day until further notice. Inform your carrier do not request more allocations. In case they do, they will receive a resounding NO by Bakerly or Linden Team.

FoF 79 (cont'd): Bakerly also wrote that it was “aware of the additional costs of demurrage, storage, or detention that this decision implied, but we do not have a choice.”

FoF 80: Seafrigo responded the next day asking what Bakerly’s message meant, noting that it sounded serious. Seafrigo asserted also that Seafrigo was going to run into a financing issue, as Seafrigo was paying demurrage out of its own pocket.

FoF 81: On that same date, Seafrigo communicated internally regarding potentially limiting the volume of bookings with Bakerly until the situation became clearer. “We cannot continue to stockpile containers on the USA side without a ‘home’ for them....”

FoF 82: Bakerly failed to respond to Seafrigo’s July 13, 2021 e-mail or to return Seafrigo’s calls. On July 21, 2021, some eight days later, Seafrigo again communicated internally that the Bakerly account was crippling Seafrigo’s credit line. “Containers are piling up in port of NY/NJ faster than they can be routed to a warehouse with availability. FYI Bakerly management is MIA, nobody returning my phone calls.”

FoF 83: On July 21, 2021, Seafrigo again wrote to Bakerly stating that Seafrigo wanted to have a conversation with Bakerly because there was another “red flag of volumes which is creating quite a bit of demurrage/per diem for Bakerly.”

FoF 84: Bakerly again failed to respond, and Seafrigo again wrote to Bakerly that there was a desperate need for a discussion of the situation, and that Seafrigo was dangerously close to being unable to move any of Bakerly’s containers out of the Ports of New York and New Jersey.

¹⁰ 7/13 was the following day.

F. Fall 2021 E-Mails to Bakerly's Warehouser

FoF 86: On October 11, 2021, Seafrigo e-mailed Bakerly's warehouser, copying Bakerly, warning that there were 15 containers whose last free day was the following day "as well as 3 more with a LFD [last free day] of 10/13." The e-mail continued, "Please advise if there's any room to increase the amount p/day so that we can do as many as possible for tomorrow and the remaining [*sic*] of the week."

FoF 90: On October 14, 2021, Seafrigo e-mailed Bakerly stating that all of the loads listed therein were either already in demurrage or had LFDs of the next day. "Not sure which ones we should give priority to since either way there will be more charges added to whatever we can't pull tomorrow. Main issue is that [the] majority of these are to be dropped in JC [Jersey City] and they can only accept 4 to 5 loads p/day."

FoF 91: As of October 2021, Bakerly was still asking that Seafrigo pay demurrage fees on its behalf.

G. The Parties' 2021 Finance Discussions

FoF 94: Seafrigo agreed to provide another \$30,000 credit to Bakerly in July or August 2021.

FoFs 96-97: On September 16, 2021, Seafrigo e-mailed Bakerly attaching a current statement of invoices with a list of overdue amounts. Seafrigo noted that Bakerly was again "in a routine of having over 1 million of outstanding" invoices. Seafrigo asked that Bakerly pay its debts because Seafrigo would be unable to float \$1,000,000 on Bakerly's behalf on a regular basis.

FoF 98: Bakerly responded that it wanted to pay Seafrigo on time but was having a hard time getting invoices and needed better backups for same.

FoF 99: On September 16, 2021 Seafrigo responded that it was unsure why Bakerly would not have received the invoices as they were being sent weekly in batches. Seafrigo further stated that,

in any event, “all the invoices were resent. 500k demurrage/ per diem /other - is there anything require[d] on our side to expedite whatever the delay is from the Miami team?”

FoFs 101-102: Seafrigo responded to Bakerly correspondence reiterating that Seafrigo had “been sending all the invoices with back-up on a case-by-case basis. There is no way we did not do it for all 500K of invoices.” Seafrigo reiterated Bakerly needed to pay on schedule within 30 days for undisputed invoices.

FoF 102: Seafrigo issued a Demurrage Per Diem Financing Schedule reminding Bakerly that: 1) import volumes had increased significantly, creating port congestion; 2) there was a lack of truck capacity to cover the spike in volumes; and 3) surrounding third-party logistics (“3PL”) warehouses continued to be full, increasing container dwell times to longer than was usual. These factors combined to skyrocket demurrage and *per diem* charges owed to the various steamship lines. Moreover, advancing payment of such charges on behalf of Seafrigo’s customers had severely stressed Seafrigo’s cash flow, forcing Seafrigo to charge an administrative fee of \$45 per transaction and an unsecured finance charge for 5% of the amount Seafrigo paid.

FoF 103: Seafrigo’s 2022 Standard Accessorials Tariff list a “Finance Fee/Per Diem Demurrage/Detention” charge as “5% of total demurrage/detention cost.”

FoF 107: Following a series of communications on November 13, 2021, Seafrigo again informed Bakerly that it was impossible to track detention and demurrage charges on the granular level Bakerly had requested “if you are expecting a finite timeline on each and every container as why demurrage is being paid.” Such an analysis, Seafrigo explained, would require even more time than servicing Bakerly’s containers.

FoF 108: On December 16, 2021, Seafrigo e-mailed Bakerly asking for a payment by the following day because the overdue amount exceeded \$940,000. Bakerly responded that it planned to make a payment of \$94,440.56, approximately 10% of the amount Bakerly owed.

FoF 110: On December 23, 2021, Seafrigo e-mailed Bakerly stating that it would no longer advance demurrage on Bakerly's behalf until the parties reached an agreement on Bakerly's payment of overdue amounts. "If any further containers require demurrage, we will inform your team and you will be responsible for paying the charges directly to the source (source being the terminal and/or steamship lines)." Alternatively, Seafrigo's e-mail explained, Bakerly could use PayCargo to pay its demurrage in real time.

FoF 111: On December 26, 2021, Bakerly wrote back to Seafrigo, referencing a phone call between the parties' senior managers. Bakerly stated that it was all a misunderstanding and that although Bakerly had engaged a secondary freight forwarder and drayage partner, Seafrigo should continue to advance payments to terminals and steamship lines on Bakerly's behalf.

FoF 112: In some instances, Seafrigo had to re-send invoices to Bakerly because Bakerly lost track (or claimed to have lost track) of previously-issued invoices.

H. Winter 2022 Customs Holds

FoF 113-114: Seafrigo e-mailed Bakerly's warehouser regarding the delivery of containers on January 7 and 10, 2022. Bakerly's warehouser responded that the earliest it would be able to schedule such deliveries was on January 10, 2022, and that it had 41 team members out with COVID and another 40 who had called in sick.¹¹

¹¹ In its Initial Brief to the ALJ, Bakerly falsely asserted that the 81 sick or missing employees were Seafrigo employees. Bakerly later admitted that its representation was false.

FoF 122-137: Following a series of communications regarding containers on hold as a result of inspections by Customs and Border Protection (“CBP”), Seafrigo explained to Bakerly that Customs holds were out of Seafrigo’s control. Nonetheless, Seafrigo communicated with CBP in an effort to obtain release of the held containers. Bakerly, however, continued to insist that the holds were somehow Seafrigo’s fault and that Bakerly would not pay the demurrage charges.

I. The Parties’ 2022 Finance Discussions

FoFs 145-146: Following a series of e-mail communications and an in-person meeting between the parties, Seafrigo on January 25, 2022 explained detention and demurrage charges assessed by terminals and steamship lines were unavoidable in light of market conditions, which conditions included unreliable shipping line schedules and punctuality, port congestion across North America (with ports running over 100% capacity), lack of chassis and genset availability, massive driver shortages across the industry, and a frozen warehouse infrastructure that was running above full capacity. Seafrigo also proposed providing a credit of \$120,000 to Bakerly in exchange for Bakerly’s immediate payment of all 2021 demurrage Bakerly owed. Seafrigo noted that it had advanced \$1,7113,579.40 on behalf of Bakerly in 2021. Bakerly refused to make such a payment.

J. Invoice Information and Calculations

FoF 160: Sample invoices issued from Seafrigo to Bakerly include the identity of the consignee (Bakerly), a description of the goods, the vessel, destination, master bill of lading number, house bill of lading number, departure date, arrival date, container number, balance due, description of charges, and additional data.

FOF 161: The evidence in the record includes sample PayCargo records that list the invoice number (matching the container number) with the amount and date paid.

FoF 162: For container TEMU09281481, the recoverable expenses for Seafrigo were \$1,075.47 and Seafrigo invoiced Bakerly \$1,073, meaning Seafrigo undercharged Bakerly by \$2.47.

FoF 163: Seafrigo admits to a small number of inadvertent overcharges, specifically, an overcharge of \$8,879.55.

FoF 164: Seafrigo admits to a double-billing of \$3,650 which amount is not being sought by Seafrigo and which amount Seafrigo is crediting to Bakerly.

III. SUMMARY OF THE INITIAL DECISION'S ANALYSIS AND CONCLUSIONS OF LAW

The I.D. properly concludes that Bakerly as the Complainant bears the burden of proof and must prove its allegations by a preponderance of the evidence. I.D. at 35. This requires showing that the allegations are more probable than not and may not be drawn from mere speculation. *Id.*

A. The I.D. Rejects Bakerly's Discovery Dispute

The I.D. rejects Bakerly's assertion that Seafrigo's discovery responses violated the Federal Rules of Civil Procedure and Bakerly's assertion that Seafrigo should be barred from relying on certain documents because allegedly late discovery caused unnecessary delay. I.D. at 35.

In considering the merits of Bakerly's contentions and its attempt to preclude the introduction of relevant evidence, the I.D. reflects that Seafrigo submitted undisputed evidence that Bakerly agreed to extend the deadline for Seafrigo to produce discovery.¹² Seafrigo also produced undisputed evidence that although Bakerly seeks sanctions and attorneys' fees for Seafrigo having originally filed its Opposition brief in a PDF format, Seafrigo provided the Brief in a word-processing format within hours after being notified of its oversight. I.D. at 35. As the I.D. further reflects, Seafrigo submitted evidence that documents produced: 1) were converted to

¹² Thus, Bakerly voluntarily agreed to extend the discovery deadline and then subsequently sought to impose sanctions and preclude evidence based upon a failure to comply with an earlier deadline. This practice is as dishonest and lacking in good faith as Bakerly's assertion that it never agreed to reimburse Seafrigo for the demurrage and detention charges advanced on Bakerly's behalf.

being labeled with Bates stamps by a third-party vendor in the ordinary course of litigation; 2) were not converted to make review more difficult; and 3) the conversions had no appreciable impact on Bakerly's ability to review the documents. *Id.* at 36, The ALJ concluded that while documents supporting Seafrigo's charges were not well-organized and portions of its Appendix required resubmission, this appeared to be the manner in the information was kept in the ordinary course of business and thus was not a basis for imposing sanctions. *Id.* The ALJ rejected the remainder of the alleged discovery challenges as well. *Id.*

B. The I.D. Enforces Seafrigo's Tariff and the Parties' Agreements

Relying upon the express terms of Seafrigo's Tariff, Seafrigo's Bill of Lading Terms and Conditions, the parties' NSAs, the NRAs, and the parties' longstanding payment practices and contemporaneous communications, the I.D. summarizes that the primary dispute between the parties is the reasonableness of Seafrigo's invoicing practices, and, after thoroughly reviewing the facts and law, determines that none of Seafrigo's practices was unreasonable. *I.D.* at 47.

As the I.D. notes, each of Seafrigo's quarterly rate proposals included Seafrigo's USA Standard Accessorials Tariff, listing *per diem* charges as "[a]t cost per terminal or carrier" and both demurrage and detention as "[a]t cost per carrier." *I.D.* at 48. The I.D. further emphasizes, as noted in the FoFs, that the "Rate Proposal *does not include demurrage and detention charges for which the shipper and/or consignee may be liable* and port terminal handling charges." *Id.* (emphasis in original). As a matter of law, the I.D. holds, the Commission permits NVOCCs to pass through charges on detention and demurrage provided there is no markup on same. *Id.*

The I.D. further examines Seafrigo's Tariff Rules, which provide that demurrage and detention charges shall be for the account of the Merchant "except to the extent solely attributable to actions or omissions Carrier." *I.D.* at 48. In so doing, the I.D. considers the applicable portions of Tariff Rule 17, providing that the Merchant appoints Carrier as its agent for acquiring containers

and chassis and agrees to charges for demurrage and detention, all of which shall for the account of Merchant “*except to the extent solely attributable to actions or omissions of Carrier.*” *Id.* (emphasis in original). Additionally, it notes that Seafrigo’s Bill of Lading Terms and Conditions expressly provide that Seafrigo “shall not be liable for any loss or damages from... an act or omission of Merchant” and that Seafrigo shall not be liable for any “cause or events” which it could not avoid, and which could not be prevented by the exercise of due diligence.” *Id.*

In rejecting Bakerly’s contention that pursuant to Tariff Rule 15.3, Seafrigo assumed all risks associated with detention and demurrage because these were door moves, the I.D. determines that at most Rule 15.3 is ambiguous in imposing demurrage liability on Bakerly for failing to reference explicitly removal of containers within the free time (for which Bakerly is liable). *Id.* Therefore, the I.D. looks to the other explicit language in the parties’ agreements, which language imposes such liability on Bakerly. *Id.* at 49.

The I.D. additionally rejects Bakerly’s contention that Tariff Rule 17.2.1 overrides provisions imposing detention and demurrage charges on Bakerly, because the section relied upon does not apply to demurrage or detention. *Id.* at 49. The I.D. holds: 1) based upon the quarterly rate proposals, which explicitly state that the rates on door deliveries did not include demurrage and detention charges and thus were not “all-in” rates, Seafrigo was not responsible for demurrage and detention charges; and, 2) the contemporaneous evidence shows that although Bakerly objected to such charges based upon an alleged failure to perform on the part of Seafrigo, Bakerly never disputed that it was otherwise responsible for demurrage and detention charges. *Id.* at 49.

C. The I.D. Promotes the Incentive Principle and the Filed Rate Doctrine

The I.D. notes that its decision that Bakerly is responsible for charges Seafrigo advanced on Bakerly’s behalf is consistent with the incentive principle because if an NVOCC fears that it

will not be reimbursed and therefore hesitates to pay the demurrage and detention necessary to pick up containers, the flow of commerce will slow. I.D. at 50.

In addition, the I.D. addresses specific categories of charges that are not attributable to Seafrigo. Included among these are charges that accrued due to staffing shortages, and those caused by ports being closed due to snowstorms. I.D. at 50. As to those snowstorm-related charges, the I.D. recognizes that Seafrigo was not responsible for the weather-related closing of the port, that the applicable tariff rules and bill of lading terms dictate that Seafrigo is not liable for charges it could not prevent, and that the undisputed evidence reflects that Seafrigo's requests to carriers to have such charges waived were denied. *Id.* at 51. Thus, Seafrigo needed to pay those charges in order to obtain the release of the containers. *Id.*

In so holding, the I.D. notes that there is no authority for the proposition that an NVOCC must file suit against a VOCC on behalf of a shipper where the VOCC flatly refuses to release containers until such charges are paid. Indeed, the I.D. recognizes that the flow of cargo would be slowed if NVOCCs had to litigate container charges or run the risk that they would not be reimbursed. "Permitting an NVOCC to pass through detention and demurrage charges it has reasonably paid is consistent with the incentive principle as it promotes freight fluidity and ensures that containers do not sit at the port accruing additional charges." I.D. at 51.

Further, the I.D. notes that on two separate occasions, in February 2021 and in December 2022,¹³ Bakerly expressly agreed to pay such snowstorm-related charges. *Id.* The I.D. further recognizes as credible Seafrigo's assertion that it would have refused to advance the millions of dollars in advances it made on behalf of Bakerly if Bakerly had informed Seafrigo that it would not reimburse it for such charges. *ID.* at 51-52.

¹³ The latter representation was made during the course of the litigation. *See*, FoF 40.

Finally, the I.D. recognizes that assessing such charges does not violate the filed rate doctrine because the parties' NRA rate proposals do not include demurrage and detention charges for which the shipper and/or consignee may be liable. *Id.* The I.D. recognizes that same analysis applies to port congestion, customs holds, and chassis or genset charges, none of which is attributable to actions or omissions of Seafrigo. I.D. at 52. Such a finding is consistent with the I.D.'s holding that shippers must be charged the agreed upon rate whether such is filed in a tariff, NSA, or NRA, unless those agreements violate the Shipping Act. I.D. at 39, citing *Taylor's Resources, Inc. (USA) v. Mitsui O.S.K. Ltd.*, 2018 WL 175762, at * 5 (FMC Apr. 4, 2018).

D. The I.D. Addresses OSRA

The I.D. dismissed Bakerly's Complaint alleging violations of sections 41104(a)(14), 41104(a)(15), and 41104(d) because OSRA was signed into law subsequent to the shipments at issue. The I.D. notes, however, that to the extent OSRA codified preexisting requirements, including those related to detention and demurrage charges, it may be relevant to those claims. *Id.*, 42-43. Therefore, the I.D. recognizes that section 41104(d) of OSRA creates a safe harbor for an NVOCC if it passes through charges made by an ocean carrier to a shipper, if the NVOCC is not otherwise responsible for the charges. *Id.* at 44.

E. The I.D. Recognizes Bakerly's Warehouses Caused Delays and Charges to Accrue

The I.D. carefully reviews the evidence and determines that the record does not reflect that Seafrigo had an unreasonable practice of failing to secure drivers. I.D. at 52-55. Instead, the evidence primarily shows that Bakerly's warehouse struggled with significant staffing issues, that Bakerly's warehouses were limited in the number of containers they could accept, and that they often did not timely empty and return containers. I.D. at 55. Bakerly's warehouse deficiencies made it difficult for Seafrigo to find truckers to serve the Allentown, Pennsylvania warehouse because drivers repeatedly had to wait multiple hours or overnight to unload containers. I.D. at 53.

Charges related thereto are not caused by or attributable to Seafrigo. *Id.* To the extent that there were other instances where Seafrigo was delayed in picking up or returning containers, those isolated instances did not rise to the level of a customary and continuous practice. I.D. at 54. Moreover, Seafrigo twice provided Bakerly with \$30,000 credits related to such charges. *Id.* “Therefore, the record does not support finding that Bakerly has been overcharged for demurrage and detention that was attributable to Seafrigo’s staffing.” I.D. at 55.

F. The I.D. Rejects Bakerly’s Contentions Regarding Invoice Backup Requirements

The I.D. notes that Bakerly does not identify which section of the Shipping Act or NSA or NRA Final Rule it alleges supports its position that charges must be substantiated with invoices, but presumes Bakerly relies on the Commission’s discussion in *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. at 622 (FMC 2016), wherein the Commission held that an NVOCC is entitled to collect pass-through accessorial charges without markup. *Id.* at 55-56. The I.D. first recognizes that OSRA invoicing requirements were not in effect for the shipments at issue and that even under OSRA the requirements relied upon by Bakerly only applied to the entity that initially imposed the charges. I.D. at 61. In contrast to Bakerly’s demands for additional substantiation, the I.D. holds that Bakerly is wrong to assert that backup of invoices is always required. *Id.* at 57. Instead, the I.D. holds that the statement in *Gruenberg-Reisner* that an NVOCC may pass through accessorial charges with supporting documentation was *descriptive* and not *prescriptive*. *Id.* at 57. The I.D. further cites FMC caselaw proposing that it may be unreasonable for an NVOCC to fail to pay demurrage charges where such action might subject property of the shipper to common carrier liens. *Id.*, citing *Maritime Corp. v. Acme Fast Freight of Puerto Rico*, 177 S.R.R. 1665, 1662, *aff’d* 18 S.R.R. 853 (FMC Aug. 14, 1978). The I.D. recognizes that FMC Rules do not specify how demurrage and detention charges should be communicated and “[f]ailure to communicate the charges in a manner preferred by a shipper, without more, does not justify

stopping payment for services rendered, particularly where the costs clearly were incurred.” I.D. at 57.

The I.D. expressly concludes that “[t]he evidence shows that Seafrigo did provide back-up documentation and the exhibits suggest that it made a good faith attempt to provide as much information as possible about these pass-through charges.” I.D. at 58. In so concluding, the I.D. cites to multiple contemporaneous communications reflecting that Seafrigo in fact continuously and repeatedly provided invoices and backup documentation to Bakerly, which, in sharp contrast, delayed payment without good cause. I.D., 58-59. Moreover, the I.D. found Seafrigo made credible statements that although its invoicing may not have been perfect, “surely there is a good chunk of this due [that] has the back-up” and although Bakerly could be missing some back-up from time to time, that did “not justify nonpayment of freight or the charges for which the documentation has been provided.” I.D. at 59. In addition, “Bakerly has not shown that lack of back-up documentation caused the demurrage or detention charges to accrue.” *Id.* at 61.

After the Chief Administrative Law Judge’s thorough review of the extensive record, the I.D. concludes that “[t]he evidence supports Seafrigo’s argument that ‘the charges assessed largely were straight pass-throughs of amounts that Seafrigo paid to third parties’ and the ‘only additional charges imposed by Seafrigo were inance charges late 2021 consisitng of an administrative fee of \$45 (per transaction) and a 5% unsecured finance charge, when Seafrigo’s finances were being impacted by Bakerly’s failure to reimburse it for millions of dollars which Seafrigo had advanced on Bakerly’s behalf.’” I.D. at 59.

The I.D. holds that Bakerly failed to make a showing that Seafrigo engaged in normal, customary and continuous unreasonable practice regarding its invoicing. I.D. at 60. By contrast, Seafrigo’s billing was consistent with the parties’ negotiated rates and Seafrigo’s Tariff. *Id.*

G. The I.D. Rejects Bakerly's Contentions Regarding Invoice Information Requirements

The I.D. rejects Bakerly's contention that Seafrigo invoices were improperly confusing or that Seafrigo improperly issued multiple invoices for the same charges. In so finding, the I.D. makes the common sense explanation that "[a]n NVOCC can only make available to the shipper the information it receives from [the VOCC or MTO] imposing the charge." I.D. at 61. Moreover, the I.D. finds, there is no legitimate dispute that during the timeframe at issue NVOCCs and MTOs were not required to provide the detailed information that Bakerly sought and that Bakerly did not establish that Seafrigo acted unreasonably in not providing information beyond what it received from the entities imposing the charge. *Id.* Further, the I.D. held that while not providing certain information may make invoices confusing, it does not make such invoices inaccurate or justify Bakerly's non-payment of same. *Id.* at 61.

The record reflects that sample Seafrigo invoices listed: the identity of the consignee, a description of the goods, the vessel, destination, master bill of lading number, house bill of lading number, departure date, arrival date, container number, balance due, description of the charges, and other data. I.D. at 61. Further, Seafrigo provided credible testimony that during the period in question VOCCs and MTOs were not obligated to provide detailed invoices as is now required under OSRA. Seafrigo forwarded information as provided by MTOs and VOCCs. I.D. at 62.

The I.D. determined that even if Bakerly could establish that another NVOCC's practices were more efficient than those of Seafrigo, that would not make Seafrigo's practices unreasonable or violate the Shipping Act. I.D. at 62. Moreover, the record does not reflect that invoicing issues were caused by any lack of systemic controls on Seafrigo's part; rather, the I.D. posits that delay and confusion may have been caused by Bakerly's continuing desire for additional information and the large number of unpaid charges that Seafrigo needed to continue to track for Bakerly. *Id.*

Finally, the I.D. rejects Bakerly's mischaracterization of the invoices as "duplicative." I.D. at 63. Bakerly identifies as duplicative (rather than *supplemental*) those additional demurrage or detention charges that accrued and were invoiced after an initial invoice was issued. *Id.* But "[t]here is nothing inherently unreasonable about issuing supplemental invoices." *Id.* Bakerly fails to identify anything in the Shipping Act that requires all billing regarding a shipment to be included in one invoice statement or that prohibits supplemental bills. *Id.* Moreover, because Bakerly refused to pay for many invoices, those invoices remained in an unpaid and billable status requiring follow-up billing. *Id.* at 64.

H. The I.D. Recognizes Seafrigo's Good Faith Billing Practices

As highlighted in the I.D., the record shows that for those isolated instances in which Seafrigo found an error in its billing, Seafrigo is not seeking payment. I.D. at 64. Moreover, the record does not support a finding that Seafrigo overcharged Bakerly more than that for which Seafrigo already accepted responsibility. *Id.* Although Bakerly often demanded underlying documents and made complaints in response to Seafrigo's request for overdue payments, Bakerly frequently ended up accepting responsibility for and paying those past due charges. *Id.*

The I.D. notes that contemporaneous documents show that any Seafrigo overcharges were outside of Seafrigo's customary and continuous practices and that Seafrigo is not seeking payment for any overcharges. I.D. at 65. Moreover, the I.D. explains, even if Bakerly had established a violation of the Shipping Act, which it failed to do, it is not clear that Bakerly would be entitled to reparations given that Bakerly has not paid for over half of what it has been billed for demurrage and detention. I.D. at 66.

IV. ARGUMENT: THE COMMISSION SHOULD REJECT BAKERLY'S EXCEPTIONS TO THE INITIAL DECISION

The extensive evidence in the record makes plain that Bakerly's Exceptions to the Chief Administrative Law Judge's Initial Decision are meritless. The I.D. reflects that the Chief ALJ diligently examined documentation related to over a thousand separate charges totaling more than \$2 million, spanning over a two-year period, and carefully considered containers that were delayed variously by weather, pandemic-related port congestion, and the failure of Bakerly's warehouse to provide competent service. In addition to analyzing documentation as to the cause of the charges, the ALJ carefully parsed the language of the parties' agreements, including the applicable NSAs, tariff, bills of lading, and rate proposals. The ALJ carefully examined communications between the parties and meticulously highlighted the same in its 164 Findings of Fact. The I.D. correctly found that the record established that *Bakerly* made unreasonable requests with regard to Seafrigo's invoicing, but that both the record and Bakerly's arguments fail to establish *Seafrigo* in fact did anything unreasonable at all. Through its exhaustive focus on the facts, the Initial Decision leaves no room for doubt that Bakerly strung Seafrigo along with false promises and partial payments and now seeks the Commission's approval of same in order to evade its debts.

A. The Record Reflects That Seafrigo Provided Invoices to Bakerly and Provided Ample Information Therewith

In contrast to the ALJ's methodical analysis, Bakerly's arguments depend on ignoring the record, and at times openly contradicting facts in evidence that the ALJ cited to in the I.D. By way of example, Bakerly baldly asserts that it never received invoices or backup documents for demurrage or detention, nearly all of which were pass-throughs of charges assessed by MTOs and VOCCS. The record is plain, however, that Seafrigo extensively and regularly submitted such invoices to Bakerly and often even provided additional documentation related to such invoices. The record further shows that Seafrigo made ongoing efforts to accommodate Bakerly's request

for exhaustive information and supporting documentation. Unavoidably, the I.D. concludes, “The evidence shows that Seafrigo did provide back-up documentation and the exhibits suggest that *it made a good faith attempt to provide as much information as possible* about these pass-through charges.” I.D. at 58 (emphasis supplied). In sharp contrast to Seafrigo’s good faith dealing, the I.D. notes Bakerly delayed payment *without good cause*. I.D. at 59 (emphasis supplied).

Moreover, Seafrigo explained below and the I.D. recognized that to the extent some details regarding detention and demurrage charges were not provided it was because that information was not provided by third parties. I.D. at 55. For example, the vast amount of the detention and demurrage charges at issue were assessed by Maher Terminal, which, as was common among MTOs during the time period at issue, did not issue invoices reflecting the basis for amounts charged but instead required to obtain release of containers payment by credit card for what it submitted were all amounts due. As the I.D. states, consistent with then-existing Commission rules and precedent, “[a]n NVOCC can only make available to the shipper the information it receives from [the VOCC or MTO] imposing the charge.” I.D. at 61.

Further at odds with the record and the I.D.’s cogent analysis thereof, Bakerly in its Exceptions makes the brazenly false claim that Seafrigo has admitted that it had a practice of “not even attempt[ing] to support the additional charges it passes through.” Bakerly cites to its own proposed findings of fact for that false claim, yet even in a vacuum the cited PFF offers no support for such allegation; Bakerly’s PFF instead states only that supporting documentation was not always provided and quotes Seafrigo’s prior factual statement that Seafrigo was under no obligation to provide such. The record and the I.D., by contrast, reflect that Seafrigo went to Herculean lengths not only to provide the extensive and legally-unrequired information that Bakerly demanded, but that when Seafrigo did not provide such information or in the format

Bakerly wanted, Seafrigo did so because such information was unavailable or because compiling such in the manner requested would take even longer than moving Bakerly's goods.

Information gathered and provided by Seafrigo to Bakerly during this period included weekly compendia of invoices related to additional demurrage and *per diem* charges that Bakerly's containers accrued. FoF 47. Such invoices, as reflected in the contemporaneous documentation and as substantiated by Seafrigo's own sworn testimony related to same, were provided to Bakerly along with all supporting documents in its possession. Moreover, as the ALJ recognized, Seafrigo correspondence with Bakerly reflects that where Seafrigo charge summaries did not contain supporting documentation, such was because "all supporting documents ha[d] already been sent with the original invoices." See FoF 48. Additionally, the record and the I.D. reflect that where Bakerly requested additional information and such was accessible to Seafrigo, it promptly provided same to Bakerly; by way of example: "[o]n April 12, 2021, Bakerly asked Seafrigo for a copy of documents related to two particular invoices. Two days later, on April 14, 2021, Seafrigo responded, attaching the documents sought." FoF 49. Seafrigo also repeatedly provided supporting documents by FedEx. It is noteworthy that Bakerly now invites the Commission to ignore the contemporaneous evidence and to dismiss Seafrigo's testimony wholly consistent therewith, yet Bakerly chose not to depose the Seafrigo representatives with knowledge of its invoicing practices.

Finally, even as Seafrigo diligently compiled the granular information and related documents that Bakerly demanded, it was under no obligation to make such accommodations to Bakerly. Such is reflected by the I.D. and by the simple fact that the relevant time period was pre-OSRA and its imposition of additional specified invoicing requirements. Moreover, even under OSRA, safe harbor provisions exist for pass-through charges assessed by VOCCS and MTOs. That safe harbor exists because, as here, an NVOCC can provide only the information that it has.

Moreover, the undisputed record reflects that Seafrigo invoices included the identity of the consignee, the vessel, the destination, the master bill of lading number, the house bill of lading number, the departure date, the arrival date, the container number, the balance due, a description of both the goods and the charges, and other data. I.D. at 61. Thus, the evidence leaves Bakerly no valid justification for its failure to pay the detention and demurrage charges at issue.

The I.D.'s findings, wholly consistent with the evidence that Seafrigo continuously and repeatedly provided invoices and backup documentation to Bakerly, should be affirmed.

B. Seafrigo Advancing Money is in Keeping With the Interpretive Rule, Which the I.D. Explicitly Applies.

Caught short by its Complaint's improper reliance on OSRA, which was not enacted until after the shipments at issue, Bakerly now asserts that the I.D. failed to recognize and apply the Interpretive Rule. Exceptions at 46. Yet in fact the ALJ *applied the interpretive rule* explicitly in the I.D., finding that Seafrigo's actions in advancing funds on Bakerly's behalf were exactly in keeping therewith. Indeed, where appropriate the I.D. explicitly references the interpretive rule's incentive principle and its primary goal of promoting the efficient movement of cargo. *See, e.g.*, I.D. at 50 where the I.D. holds that its decision is consistent with the incentive principle because if an NVOCC fears that it will not be reimbursed and therefore hesitates to pay the demurrage and detention necessary to pick up containers, the flow of commerce will slow. I.D. at 50.

In fact, Seafrigo's advancing of payment on behalf of Bakerly and negotiating with carriers on its behalf is a prime example of Seafrigo's ongoing actions in Bakerly's interests and is wholly in keeping with the Interpretive rule. In much the same way Seafrigo was under no obligation to provide to Bakerly regular compendia of Bakerly's debts, Seafrigo similarly was under no obligation to negotiate as it did with VOCCs or MTOs which refused to waive or discount demurrage and detention charges. Such negotiation was already above-and-beyond anything

Seafrigo was required to do, and Seafrigo certainly was not under a further obligation to litigate with those carriers and MTOs. As the I.D. recognized, “Seafrigo made a reasonable attempt to contest the charges, which is sufficient to meet its obligation not to impose avoidable charges.” I.D. at 51. Bakerly was and remains free to pursue claims against VOCCs and MTOs that it believes were improperly assessed but has no legal justification for seeking recovery of such pass-through charges from Seafrigo.

As the I.D. emphasizes, “[t]he flow of cargo would be slowed if NVOCCs had to litigate contested charges or run the risk that they would not be reimbursed, as NVOCCs would be incentivized not to pay the charges which would result in delays picking up containers and additional charges being incurred.” I.D. at 51. If Seafrigo had refused to pay the amounts invoiced by the MTOs and VOCCs, the containers at issue would not have been released, Bakerly never would have received the goods at issue, and those same MTOs and VOCCs would have assessed additional charges. Quite simply, by advancing money on Bakerly’s behalf *Seafrigo saved Bakerly money*. Bakerly’s current position that it is not responsible for paying such charges is flatly contrary to the interpretive rule as under Bakerly’s legal scheme, it could have inadequate warehousing for goods (or any warehouses at all) and fail to timely unload and return containers, knowing that it would bear no liability for same. Such an irresponsible position would grind ocean transportation to a halt.

C. Bakerly is Responsible for the Charges at Issue Pursuant to Applicable Tariff Rules and the Parties’ Agreements.

As the I.D. recognizes through careful analysis of the applicable tariff, bill of lading terms and conditions and the parties’ agreements, Bakerly is responsible for the charges at issue. Each of those documents imposes responsibility for the demurrage and detention charges at issue on

Bakerly as the Merchant. Bakerly's contentions to the contrary are entirely without support, as is its assertion that the I.D.'s conclusions somehow run afoul of the filed rate doctrine.

In the parties' NRAs, Bakerly expressly agreed that it would be liable for detention and demurrage charges, as well as port and handling charges, and also agreed that it was liable for "per diem, detention and demurrage charges at cost per terminal or carrier." SSoF at 7. Similarly, as noted in the I.D. each NRA expressly provided that the "Rate Proposal does not include demurrage and detention charges for which the shipper and/or consignee may be liable and port and port terminal handling charges." I.D. FoF at 48. The NRAs also include a Standard Accessorials Tariff Provision specifying that *per diem*, detention and demurrage charges are payable at cost per terminal or carrier. The specific, negotiated, and agreed upon language of such rate agreements, Seafrigo has emphasized previously, trumps the boilerplate language of any tariff provision. *See, e.g.,* SSoF at 7; *Royal Ins. Co. of Am. v. Orient Overseas Container Line Ltd.*, 525 F.3d 409, 420 (6th Cir. 2008) (noting, *inter alia*, that "'separately negotiated or added terms are given greater weight than standardized terms....'" and citing Restatement (Second) of Contracts § 203 (1981)).

Going further, as the I.D. highlighted, each of Seafrigo's quarterly rate proposals includes Seafrigo's USA Standard Accessorials Tariff, which lists *per diem* charges as "[a]t cost per terminal or carrier" and both demurrage and detention as "[a]t cost per carrier." I.D. at 48. Seafrigo's Tariff Rules further provide that demurrage and detention charges shall be for the account of the Merchant "*except to the extent solely attributable to actions or omissions of Carrier.*" I.D. at 48 (emphasis in I.D.). The applicable portions of Tariff Rule 17 provide that the Merchant appoints Carrier as its agent for acquiring containers and chassis and agrees to charges for demurrage and detention, all of which shall for the account of Merchant "*except to the extent solely attributable to actions or omissions of Carrier.*" *Id.* (emphasis in original).

Tariff Rule 17.1 states explicitly that Bakerly appoints Seafrigo as its agent for acquiring containers and chassis for such transportation and accepts that demurrage, detention, and storage charges shall be for its account, except to the extent solely attributable to Seafrigo's actions or omissions. SSoF at 5. Rule 17.2.1 provides that Seafrigo will advance payment on any surcharges or other similar add-on charges assessed by the VOCC and pass them through to Bakerly without markup. SSoF at 5.

The I.D. rightfully disposes of Bakerly's contention that Tariff Rule 17.2.1 overrides provisions imposing detention and demurrage charges on Bakerly, because that section does not apply to demurrage or detention (and indeed, as Seafrigo has emphasized, does not even *mention* same). I.D. at 49. Therefore the I.D. rightfully holds Seafrigo is not responsible for detention and demurrage based on the quarterly rate proposals, which explicitly state that the rates on door deliveries did not include demurrage and detention charges and thus were not "all-in" rates.

Despite the available record and the I.D.'s analysis thereof, Bakerly continues to argue that door delivery transactions exempt it from responsibility. The I.D. considers and rejects Bakerly's contention that pursuant to Tariff Rule 15.3, Seafrigo assumed all risks and associated with detention and demurrage because these were door moves. I.D. at 48. There the I.D. determines that at most Rule 15.3 is ambiguous in imposing demurrage liability on Bakerly for failing to reference explicitly removal of containers within the free time (for which Bakerly is liable). *Id.*

Therefore, the I.D. looks to the other explicit language in the parties' agreements, which language imposes such liability on Bakerly. *Id.* at 49. Seafrigo's Bill of Lading Terms and Conditions are similarly incompatible with Bakerly's selective reading. Those Terms expressly provide that Seafrigo "shall not be liable for any loss or damages from... an act or omission of Merchant" and that Seafrigo shall not be liable for any "cause or events" which it could not avoid,

and which could not be prevented by the exercise of due diligence.” I.D. at 48. Moreover, the I.D. holds that as a matter of law, the Commission permits NVOCCs to pass through charges on detention and demurrage provided there is no markup on those charges. Without support and ignoring the I.D.’s analysis, Bakerly effectively flips this requirement in its Exceptions, stating that on door moves Bakerly is not responsible for demurrage “if Bakerly did not directly cause the resulting demurrage.” Exceptions at 28. Bakerly’s rewriting of the tariff to only accept responsibility for demurrage and detention it directly causes is flatly contrary to the actual provisions therein.

Bakerly contends that the I.D.’s reading of the tariff should be rejected because it would violate the rule of contract interpretation regarding surplusage. In fact, however, the I.D.’s reading of the various tariff rules is entirely consistent. Bakerly’s own tortured reading of Tariff Rule 15, by contrast, would require the Commission to flatly ignore the express language of the parties’ rate proposals and the Standard Accessorials Tariff related to same, the language of Tariff Rule 17 stating that Bakerly is liable for detention and demurrage charges “except to the extent solely attributable to actions or omissions of Carrier,” and Seafrigo’s bill of lading terms and conditions (which are *included* within Seafrigo’s tariff) providing that Seafrigo shall not be liable for any “cause or event” which it could not avoid, and which could not be prevented by the exercise of due diligence.

While asserting that the tariff rules should be construed strictly against Seafrigo, Bakerly, reluctantly concedes that tariff terms “must be construed in the sense in which they are generally understood and accepted commercially [and] [s]hippers cannot be permitted to avail themselves of a strained and unnatural construction.” Exceptions at 26 (footnote 8). That, however, is what Bakerly does here, ignoring that the clear purpose of the tariff’s reference to door moves at 17.2 is

to avoid double-billing. The obvious meaning and intent of such language (which does not reference detention or demurrage) is that if Seafrigo's rates include the costs of a door move, it will not separately bill (or double bill) Bakerly for delivering the goods to the door. Moreover, Bakerly's tortured interpretation ignores that Seafrigo's bill of lading terms and conditions *are included in its Tariff and therefore must not be given a "strained and unnatural construction."* Those terms – *no less part of Seafrigo's tariff than any other language therein* – expressly clarify that Bakerly is responsible for detention and demurrage charges except when caused by Seafrigo.

With the full weight of the record behind it, the I.D. finds that the parties' agreements and Seafrigo's tariff provisions render Seafrigo liable for detention and demurrage only when such charges are solely attributable to Seafrigo's own actions. Additionally, the I.D. rightfully recognizes that the parties' agreements state Seafrigo is *specifically* not responsible for a number of different categories of charges that are not attributable to Seafrigo. Included among these are charges that accrued due to Bakerly's staffing shortages and invoicing practices, and those caused by ports being closed due to snowstorms. I.D. at 50. As to charges imposed by MTOs and NVOCCs, the I.D. recognizes that Seafrigo was not responsible for the weather-related closing of ports, that the applicable tariff rules and bill of lading terms dictate that Seafrigo is not liable for charges it could not prevent, and that the undisputed evidence reflects that Seafrigo's requests to carriers to have such charges waived were denied. *Id.* at 51. Thus, Seafrigo advancing such funds was necessary in order to obtain the release of the containers. *Id.*

After the Chief Administrative Law Judge's thorough review of the extensive record, the I.D. is right to conclude that "[t]he evidence supports Seafrigo's argument that 'the charges assessed largely were straight pass-throughs of amounts that Seafrigo paid to third parties' and the 'only additional charges imposed by Seafrigo were finance charges in late 2021, when Seafrigo's

finances were being impacted by Bakerly's failure to reimburse it for millions of dollars which Seafrigo had advanced on Bakerly's behalf.'" I.D. at 59.

D. The Parties' Conduct Reveals Bakerly Intended for Seafrigo to Advance Funds on Its Behalf.

During Seafrigo and Bakerly's contractual relationship it was the established practice between the parties that Seafrigo would advance funds to third parties such as MTOs and VOCCs for detention and demurrage charges and Bakerly would then reimburse Seafrigo for those charges. Opposition at 6; Lorrain Declaration, RX 38 at 3; Raffa Declaration, RX 1 at 12. Such was consistent with pervasive industry practice and Seafrigo did so as an accommodation to Bakerly in order to allow for the prompt release of Bakerly's cargo and to prevent such charges from continuing to accrue. *Id.* Such practice as explained by Seafrigo and as endorsed by the I.D., was an accommodation Seafrigo made in order to *minimize* delay and charges related thereto by preventing additional charges from accruing on Bakerly's containers. . If Seafrigo had not made the payment, charges on the relevant containers simply would have continued to accrue. Whether such detention and demurrage charges are paid directly by the shipper or consignee or advanced by the NVOCC, the shipper or consignee bears ultimate responsibility for payment. SSoF at 113.

The record is bursting with evidence that Bakerly approved, encouraged, and indeed begged Seafrigo to advance such funds on its behalf. The I.D. reflects that on two separate occasions Bakerly expressly represented that it would pay snowstorm demurrage and detention charges advanced by Seafrigo arising from a port closure due to a snowstorm. *See* FoF at 38 and 40.¹⁴ When Bakerly's warehouse caused charges to accrue Bakerly wrote to Seafrigo it was "aware

¹⁴ One such Bakerly representation was made in February 2021 in exchange for Seafrigo offering Bakerly a \$30,000 credit so as to have Bakerly agree pay overdue detention and demurrage invoices. FoF 38. The second representation was made during the litigation. FoF 40.

of the additional costs of demurrage, storage, or detention that this decision implied, but we do not have a choice.” FoF 79. The I.D. reflects numerous additional examples of Seafrigo requesting payment of outstanding detention demurrage charges. *See, e.g.*, FoF 96-97, 103, 108.¹⁵ After Seafrigo e-mailed Bakerly stating that it would no longer advance demurrage on Bakerly’s behalf until the parties reached an agreement on Bakerly’s payment of overdue amounts: “If any further containers require demurrage, we will inform your team and you will be responsible for paying the charges directly to the source (source being the terminal and/or steamship lines).” *See* FoF 110.¹⁶ Alternatively, Seafrigo’s e-mail explained, Bakerly could use PayCargo to pay its demurrage in real time. After a phone call between the parties’ senior managers in December 2021, Bakerly demonstrated that Seafrigo should continue to advance payments to terminals and steamship lines on Bakerly’s behalf. FoF 111.

The lack of good faith and indeed outright dishonesty of Bakerly’s position is apparent from its bald assertion that “there is no evidentiary proof that Bakerly accepted the understanding” that it was responsible for payment of demurrage and detention charges advanced on its behalf by Seafrigo. Bakerly Exceptions at 33. In so doing Bakerly repeats its *non sequitur* rebuke of a straw man argument Seafrigo has never made, namely that the parties’ course of conduct has somehow negated Tariff language. Seafrigo has always maintained that the language of the parties’ agreements speaks for itself – and speaks in Seafrigo’s favor. Additionally, separate from the clear and enforceable language of those agreements, the parties’ course of conduct confirms that

¹⁵ The record further reflects that while Bakerly frequently failed to pay outstanding invoices, on other occasions it did make such payments. *See* I.D. at 46. Bakerly offers no explanation as to why it did so if Bakerly did not believe it was responsible for demurrage and detention or why Bakerly never informed Seafrigo it was not responsible for such charges.

¹⁶ S Seafrigo only continued to pay Bakerly’s demurrage and detention charges when the Bakerly CEO begged Seafrigo to continue to do so, and promised to pay outstanding demurrage and detention charges. FoF 111.

Seafrigo and Bakerly had *the same correct understanding of such language* during the time at issue. Were Seafrigo itself unclear in making that point, the I.D. singles out the issue:

Seafrigo alleges that it acted in accordance with the governing contracts and the parties' course of conduct and states that it "does not contend that the parties' course of conduct negates the Tariff Rules; rather, Seafrigo maintains that the parties' course of conduct shows Bakerly and Seafrigo both shared the correct understanding of those rules over a long course of dealing."

I.D. at 45.

Bakerly asserts two inconsistent justifications for its refusal to pay detention and demurrage charges and its attempt to claw back previously paid charges invoiced by Seafrigo. On the one hand, Bakerly asserts that it never had a legal obligation to pay such charges because they were door moves. On the other hand, Bakerly asserts there is not enough information included in or along with Seafrigo's invoices to justify payment. Yet it beggars logic to conclude that Bakerly spent the time at issue demanding additional information and backup on door move charges for which it believed it could not under any circumstance be responsible. Therefore, Bakerly's repeated requests for information, however unjustified, confirm that it understood it was responsible for such charges. If door moves had exempted Bakerly from responsibility, as Bakerly now wrongly maintains, no amount of backup could overcome that exemption.

Equally telling is the fact that *Bakerly sometimes paid* the charges assessed. There can be no rationale for such payment if Bakerly believed it could never be responsible for door move detention and demurrage. Additionally, the I.D. rightfully finds that the contemporaneous evidence shows that although Bakerly sometimes objected to such charges, it did so based on an alleged failure to perform on the part of Seafrigo – Bakerly *never* disputed that it was otherwise responsible for demurrage and detention charges. *Id.* at 49. The plain record reflects that Seafrigo billed

Bakerly for such charges almost a thousand times over an extended period and Bakerly either paid such charges or repeatedly promised to do so.

Bakerly did not assert it had no obligation to pay until *after* Seafrigo had advanced millions of dollars on its behalf. Basic reasoning and the record of the parties' conduct leaves no room for doubt that Bakerly understood Seafrigo was advancing money on Bakerly's behalf, responsibility for which, as reflected in the plain language of the parties' agreements, was Bakerly's. In light of the above, Bakerly's assertion that it did not understand that it was obligated to reimburse Seafrigo for demurrage charges advanced on its behalf is knowingly untruthful on its face and warrants a finding that the Commission cannot rely on any of Bakerly's assertions in this matter. The I.D. properly concludes that Bakerly has failed to show any violation of the Shipping Act by Seafrigo and that Bakerly has failed to establish it does not have to pay its debts. *See, e.g.*, I.D. at 2.

E. Bakerly Misinterprets the Record and Misrepresents Seafrigo's Good Faith Practices Reflected Therein.

Where Bakerly does actually confront the record, it mischaracterizes the same in service of misrepresenting Seafrigo's good faith dealing during the period charges accrued and during this litigation. In so doing, and in an effort to cast doubt on Seafrigo's good faith in billing then and now, Bakerly focuses much of its Exceptions brief on alleged admissions by Seafrigo and cherry-picked and unrepresentative supposed overcharges.

1. Bakerly Misrepresents its Awareness of Charges Reflected in the Spreadsheets

As but one example, Bakerly misrepresents a spreadsheet prepared by Seafrigo which Bakerly contends contains admissions as to the cause of the charges. The most notable misrepresentation in this regard is the suggestion that internal notes in the spreadsheet stating that Bakerly was advised that due to market conditions, *per diem* or demurrage may apply do not constitute proof that Bakerly *caused* such charges to accrue. *See* Exceptions at 8. This is a red

herring as those internal notes are not directed to the cause of the charges but instead to the fact that despite Bakerly's belated contention to the contrary, Bakerly was *aware* that such charges were accruing and that they were the responsibility of Bakerly. *See Id.*

2. Bakerly Misrepresents Revisions in Analysis Reflected in the Spreadsheets

Bakerly further attempts to cast doubt on Seafrigo's honesty by reference to changes in the attribution of charges between spreadsheets produced by Seafrigo in what Bakerly refers to as Rounds 1 and 2. Yet such revisions have been already fully addressed in the submission below wherein Seafrigo explained that Round 2 reflected a review of invoices for smaller amounts, which Seafrigo believed during Round 1, based upon the parties' contemporaneous communications, would not need to be addressed in the litigation. *See, e.g.,* Reply at footnote 43. When Bakerly belatedly refused to adopt such a position, Seafrigo did a deeper dive into the voluminous records and prepared a spreadsheet reflecting the cause of all of the charges at issue, including investigating the cause of previously uncategorized charges. As already set forth herein, all of the invoices were properly issued to Bakerly. The reference to "no" invoices merely reflected that there had been no further follow-up communication with Bakerly regarding those invoices. *See* Exceptions, 11-16.

A review of Bakerly's Brief reveals the absurdity of its arguments regarding never having received a substantial number (or perhaps any) invoices. On pages 11-16 of its Brief, Bakerly presents a chart derived from Seafrigo's production with a column titled "PH 3 – Bakerly Notified," which it alleges shows that Bakerly never received invoices related to specified purchase orders ("POs"). Fifty-five (55) of the POs table's line items, however, relate to snowstorm charges. The undisputed facts, however, show that Bakerly was invoiced *and paid* \$361,178.54 of those charges. *See, e.g.,* Exceptions, 15-16; I.D. at 51.¹⁷ Accepting Bakerly's

¹⁷ These are payments Bakerly is now seeking to claw back.

position that no invoices were in fact sent would require the Commission to believe Bakerly's argument that Bakerly somehow and for some reason paid over \$360,000 to Seafrigo despite *never having received an invoice for those charges*. Given that some charges over which Bakerly insisted on litigating amount to less than \$50, the notion that Bakerly would have paid hundreds of thousands of dollars without ever receiving any invoices defies reason. *See, e.g.* Exceptions at 3. Additional review of other line items set forth on pages 11-16 of Bakerly's Exceptions shows that numerous other supposedly never issued invoices also were paid.¹⁸

The extent to which Bakerly is willing to go to attempt to confuse the Commission regarding issues legitimately in dispute is reflected by the fact that thirty (30) of the POs referenced in Bakerly's Exceptions are for expenditures for which Seafrigo is not seeking reimbursement. (*See*, Column stating Seafrigo Fault on pages 14-15.) Similarly, page 10 of Bakerly's Exceptions includes another list of POs for which supposedly no invoices were sent (two of which P0002594 and P0001753) are clearly credits totaling \$5,120.50 (\$4,795+\$325.50). Again, Bakerly offers no explanation as to how such a credit could be determined without Bakerly ever having received an invoice from Seafrigo.

3. Bakerly Misrepresents Supposed Overcharges Allegedly Reflected in Invoices

After reviewing thousands of invoices and supporting documentation related to same, Bakerly focuses in its Exceptions on *two* invoices related to containers SEGU9388853 and SEGU9420024 for which Bakerly asserts it was overcharged. Exceptions, 18-19. However, in the case of SEGU9388853, Seafrigo already has admitted to a billing error overcharge in the amount of \$8,879.55 for which Seafrigo is not seeking repayment. The I.D. at 65 recognizes as such.

¹⁸ These include PO001188, PO001269, IMP10-20-09735-04, IMP10-20-09735-05 and IMP10-20-09929-03.

Bakerly's discussion of the latter supposedly overcharged container garbles its analysis by reference to the former, inaccurately claiming that Seafrigo argued a supposedly 42% overcharge is explained by a 3.99% finance charge. Ignoring Bakerly's inaccurate percentage calculations, the best that Bakerly can assert is that Seafrigo charged Bakerly \$13,496.86 when it should have charged Bakerly only \$12,074.28.¹⁹ Bakerly's calculations, however, ignore the nominal finance and administrative fees Seafrigo had to implement due to Bakerly's failure to timely pay invoices. For the container in question, Seafrigo's finance and administrative fee was \$809.82. The sum of that fee and Bakerly's own cited \$12,074.28 figure therefore is \$12,884.10, or roughly \$600 less than what Seafrigo charged. Any discrepancy of approximately \$600.00 represents two-hundredths of one percent of the charges involved in this matter.

These calculations on their face reveal the absurdity of Bakerly's subsequent conclusion that Seafrigo's admission to an inadvertent overcharge on the former container (SEGU9420024) requires "the Commission must make a finding that Seafrigo violated the Shipping Act." Exceptions at 19. However, Bakerly again turns a blind eye to the careful analysis in the I.D., which analysis notes "the record does not support finding that Seafrigo overcharged Bakerly by more than the amount for which Seafrigo already accepts responsibility" and "the record... supports Seafrigo's argument that these were isolated incidents for which it is no longer seeking payment." I.D. at 65. As the I.D. is careful to explain:

Section 41102(c) prohibits unreasonable charges **when they are practices.... Bakerly has not established, however, that Seafrigo's normal, customary, and continuous practice** was to invoice with the expectation of being paid twice or being overpaid. Rather, the evidence establishes that the actions complained of were often the result of Bakerly's continuing requests for additional information about charges and were not part of Seafrigo's practices.

¹⁹ The \$12,074.28 is calculated by adding the 3.99% credit card charges to the \$11,611 owed.

I.D. at 65 (emphasis supplied).

As the I.D. properly held, isolated errors in billing for miniscule amounts in a case involving invoices in excess of \$2.7 million can in no way be characterized as an unreasonable *practice* in violation of the Shipping Act. I.D. at 65. Instead, it is emblematic of Seafrigo's *practice* of *accurate* good faith billing. Any contrary conclusion is particularly unwarranted given that Seafrigo issued separate credits to Bakerly totaling in excess of \$60,000. I.D. at 65.

4. Bakerly Misrepresents Seafrigo's Conduct and Production in Discovery

Finally, as the I.D. reflects, Bakerly's continued argument for sanctions against Seafrigo's counsel is meritless. In pursuing such baseless argument earlier in this matter, Bakerly attempted to preclude the introduction of relevant evidence. In response, Seafrigo submitted undisputed evidence that Bakerly agreed to extend the deadline for Seafrigo to produce discovery. Thus, Bakerly voluntarily agreed to extend the discovery deadline and then subsequently sought to impose sanctions and preclude evidence based upon a failure to comply with an earlier deadline. This practice is as dishonest and lacking in good faith as Bakerly's assertion that it never agreed to reimburse Seafrigo for the demurrage and detention charges advanced on Bakerly's behalf.

Seafrigo also produced undisputed evidence that while Bakerly once again seeks sanctions and attorneys' fees for Seafrigo having originally filed its Opposition brief in a PDF format, Seafrigo provided the Brief in a word-processing format *within hours after being notified of its oversight*. The fact that Bakerly would take such a position in the first place and then pursue it as part of its Exceptions reflects the extent to which Bakerly is prepared to go to try and ensure that the Commission does not review the relevant contemporaneous documents. I.D. at 35. As for Bakerly's allegations that Seafrigo somehow deliberately mischaracterized how its Bates-stamped discovery was labeled, Seafrigo submitted evidence that documents produced: 1) were converted to being labeled with Bates stamps by a third-party vendor in the ordinary course of litigation; 2)

were not converted to make review more difficult; and, 3) the conversion had no appreciable impact on Bakerly's ability to review the documents. *Id.* at 36. The ALJ concluded that although documents supporting Seafrigo's charges were not well-organized and portions of its Appendix required resubmission, this appeared to be the manner in the information was kept in the ordinary course of business and was not a basis for imposing sanctions. *Id.* The ALJ rightfully rejected the remainder of the alleged discovery challenges as well. *Id.*

V. CONCLUSION

The Initial Decision of the Chief Administrative Law Judge carefully and thoroughly examines the record, and bases all of its analytical conclusions therefrom. As set forth above, Complainant's Exceptions are factually and legally deficient, and at times knowingly false. For all of these reasons, Complainant's Exceptions should be denied and the Initial Decision affirmed.

Respectfully submitted,

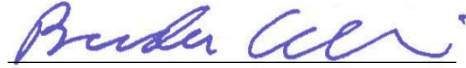
Brendan Collins
GKG Law, P.C.
1055 Thomas Jefferson Street, N.W.
Suite 620
Washington, D.C. 20007
Telephone: (202) 342-6793
bcollins@gkglaw.com

Attorney for Respondent Seafrigo USA Inc.

Date: February [x], 2024

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 31st day of May, 2023.



Brendan Collins